

Summer sell-off for the USD?

Flagging the risks around “US exceptionalism”

- The consensus has turned more bullish on USD, but there are signs that a reversal lower in the USD could be more probable in the next few months.
- Recent “US exceptionalism” is valid – upside data surprises, firmer US rates, solid US equity performance and subsequent USD gains – but will likely face higher hurdles.
- When US data surprise have been this positive in the past, the USD has fallen around 75% of the time in the subsequent three months.
- Positioning has also become more skewed to USD longs, exacerbating pullback risk.

Tactical USD bull case remains intact

The USD bull case has become more prominent in recent weeks. Strong US data and a repricing of Fed rate hikes in the year ahead support USD gains (*Fig. 1*). US equities have been outperforming for most of the last few months (albeit with a recent pull back), which has aligned with *a resumption of inflows into US capital markets*. Upcoming tech IPOs are adding further fuel to the fire regarding potential USD demand for US assets. In addition, ongoing Middle East tensions provide a further source of support for USD, even as energy prices have softened on the hopes of de-escalation. The latest headlines from President Trump about a deal being signed over the coming weekend will obviously *test USD resilience in the near term*.

We have been tactically aligned with USD strength through *our long USD/CAD trade*, which we think has scope to reflect the repricing in rate expectations and because there is less downside risk to this pair on any sign of geopolitical de-escalation compared with most other G10 pairs.

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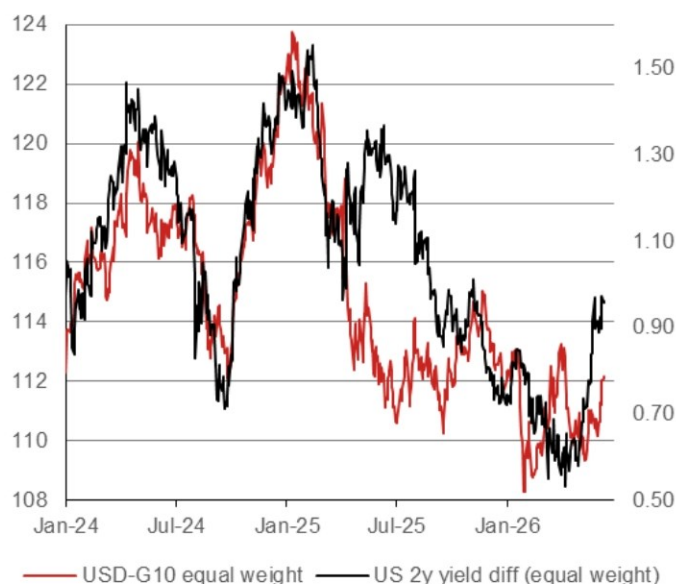
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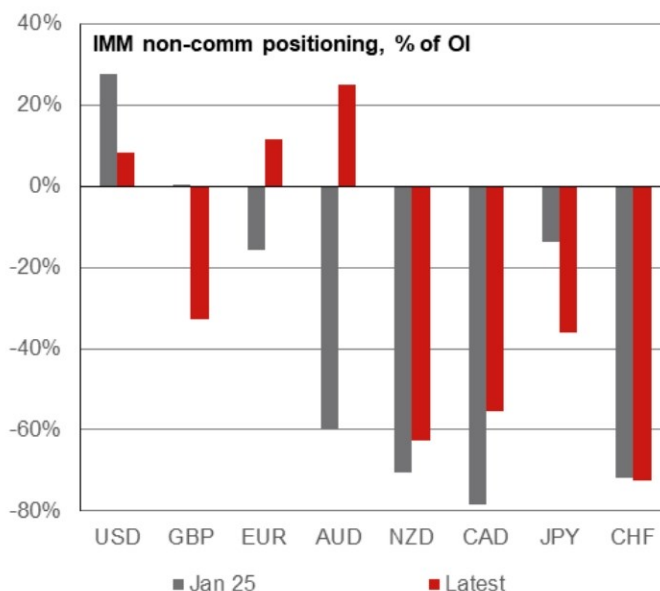
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Fig. 1: USD still appears slightly low relative to the repricing of front-end interest rates



Source: Bloomberg, Nomura

Fig. 2: USD long positioning has been building but not to the same degree as in early 2025



Source: Bloomberg, Nomura

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That said, *positioning risks may already be starting to turn* in the other direction. While USD longs (as measured by CFTC non-commercial positions, *Fig. 2*) are not that elevated, short positions are being built in a range of other G10 currencies, albeit not to the same extent as in early 2025.

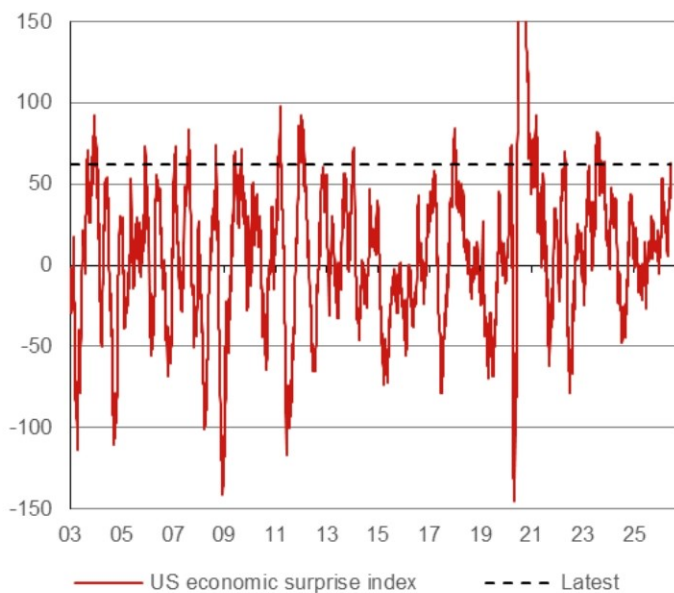
So what could go wrong? At times of increasingly extreme sentiment, *we should always consider the counter-argument*. **We think it is right to question whether sentiment is already turning too bullish on the US again**, with the buzzwords of “US exceptionalism” being increasingly mentioned in client meetings and in the media.

Surprise, surprise

The significant rise in US economic surprises stands out to us, as US data have beaten expectations consistently over the last few months. The Citi US Economic Surprise Index recently hit its highest level in nearly three years, and in the series' 23-year history, there have been few occasions when data surprises have been this positive (*Fig. 3*). There has also been a significant increase in US growth expectations among economists relative to other DM economies (*Fig. 4*). This widening suggests the bar to further upside surprises is rising, and **there is a growing risk we are close to peak USD optimism**.

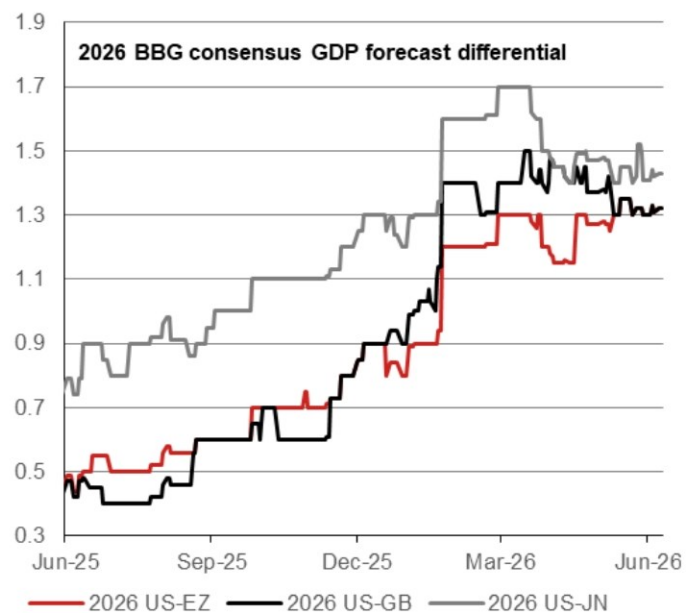
There was a similar pattern in consensus forecasts in late-2024, as expectations of a Trump election victory and subsequent growth boom increased. As it turned out, the USD topped out a week before Trump's inauguration, nearly a full three months before the short USD narrative gained most traction following the Liberation Day tariff announcements.

Fig. 3: US economic surprises have been exceptional in recent months relative to the last 20 years...



Source: Bloomberg, Nomura

Fig. 4: ... while economists have raised their growth expectations relative to other DM economies



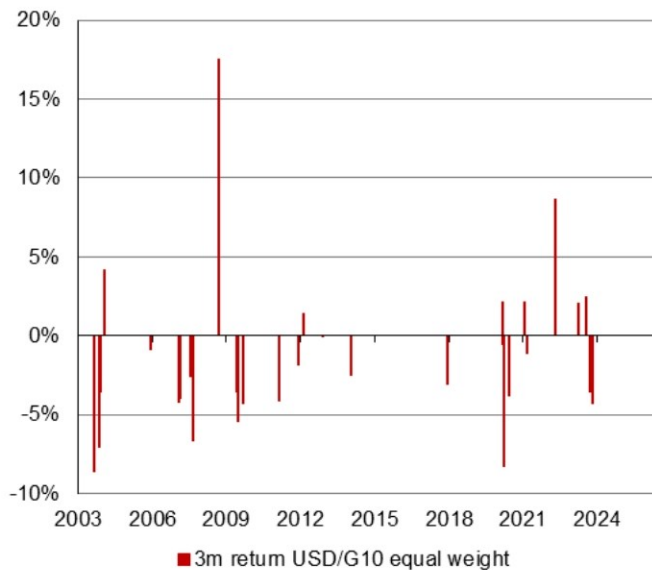
Source: Bloomberg, Nomura

Exceptional US surprises do not precede exceptional USD returns

We looked at the full history of US Economic Surprise Index data and considered occasions in which the index crossed up over the 60 level – where it has been hovering for the last week or so. We found 41 examples. We then examined USD returns versus all G10 currencies and as an equal-weighted index over the subsequent 1 week, 2 weeks, 1 month and 3 months. The data for the first three periods show little of note. **But looking at the 3-month return window, we find consistently negative USD performance** (*Fig. 5*, *Fig. 6*, *Fig. 7*, *Fig. 8*).

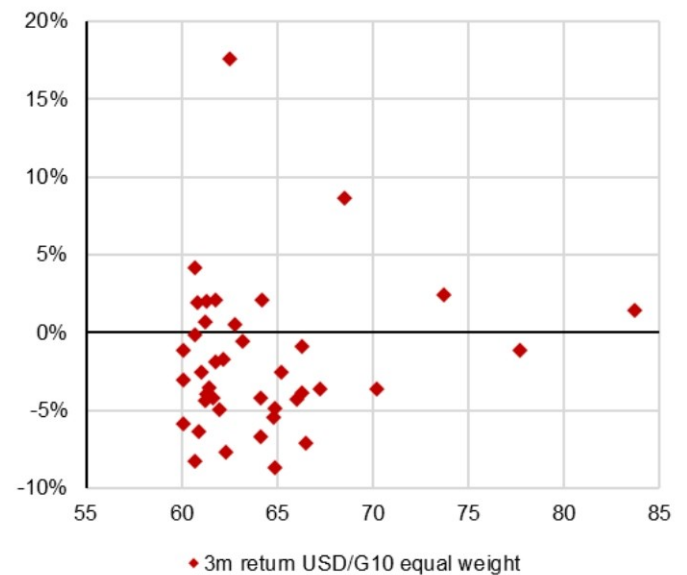
When we raise the threshold on the US Surprise Index to a slightly higher hurdle level of 70, we find the returns become much more consistently negative across all performance windows. **This suggests we are on the cusp of tipping over into increasing downside risks for USD.**

Fig. 5: USD has tended to weaken in the 3m after US surprises reached current levels



Source: Bloomberg, Nomura

Fig. 6: USD/G10 equal weighted returns relative to the level of the US Economic Surprise Index



Source: Bloomberg, Nomura

Fig. 7: Average returns for USD/G10 pairs and an equal weighted USD/G10 index after US surprises breached current levels

Sample size for US Economic Surprise Index breaching the 60 level historically is 41

Average	USDEUR	USDJPY	USDGBP	USDAUD	USDNZD	USDCAD	USDNOK	USDSEK	USDCHF	USD/G10 ew
1w	-0.1%	-0.2%	-0.2%	0.0%	-0.1%	0.0%	-0.1%	0.0%	0.0%	-0.1%
2w	-0.1%	-0.3%	-0.1%	0.5%	0.3%	0.4%	0.4%	0.2%	-0.2%	0.1%
1m	-0.7%	-0.8%	-0.4%	0.1%	0.2%	0.4%	0.3%	-0.4%	-0.8%	-0.3%
3m	-1.9%	-0.7%	-1.5%	-2.5%	-2.2%	-1.2%	-1.9%	-2.2%	-2.0%	-1.8%

Source: Bloomberg, Nomura

Fig. 8: Hit ratio for USD/G10 pairs and an equal-weighted USD/G10 index after US surprises reached current levels

Sample size for US Economic Surprise Index breaching the 60 level historically is 41

Hit Rate	USDEUR	USDJPY	USDGBP	USDAUD	USDNZD	USDCAD	USDNOK	USDSEK	USDCHF	USD/G10 ew
1w	46.3%	51.2%	51.2%	46.3%	48.8%	43.9%	53.7%	43.9%	51.2%	51.2%
2w	43.9%	43.9%	41.5%	48.8%	43.9%	41.5%	43.9%	51.2%	43.9%	46.3%
1m	48.8%	39.0%	39.0%	48.8%	48.8%	41.5%	53.7%	36.6%	43.9%	43.9%
3m	22.0%	31.7%	22.0%	26.8%	31.7%	36.6%	29.3%	24.4%	19.5%	26.8%

A hit ratio of 50% would mean that the currency pair was higher and lower an equal number of times at the end of the specified window. Source: Bloomberg, Nomura

Flagging the risks – US employment seasonality, Warsh walkback, tech turnaround

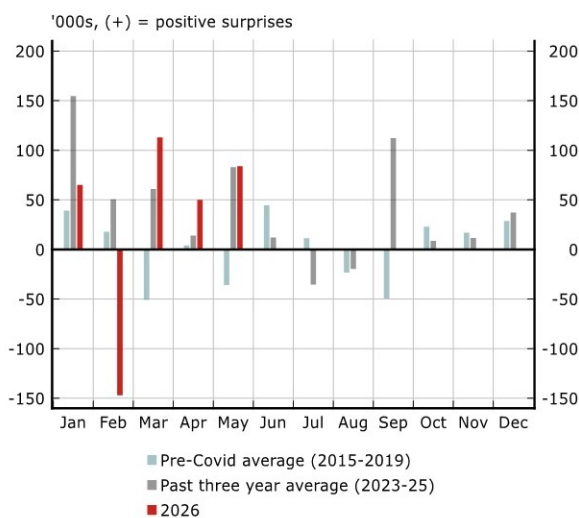
We see three clear risks that could push market sentiment on USD to reverse:

- 1. US employment data:** Our baseline view is that the US labour market is resilient and is likely re-accelerating. **But we believe there are risks in the months ahead related to potential residual seasonality in the data**, rather than true weakness. The last three years have all seen significant downside surprises to US employment data in July (this year due for release on 7 August; *Fig. 9*). This could weigh on the US exceptionalism narrative, even temporarily, especially after three consecutive upside surprises to nonfarm payrolls. Signs of this residual seasonality appear to be showing up already in recent weekly initial jobless claims.
- 2. Fed Chair Warsh and the Fed reaction function:** How new Fed Chair Kevin Warsh interacts with the rest of the FOMC is a big source of uncertainty to markets. He is

likely at the dovish end of the spectrum and could find it challenging to fully fight back against the latest momentum in market pricing. But if he is able to do so and to bring enough FOMC members on side with him, then **it is possible that Warsh curbs the latest expectations for rate hikes**. Indeed, he may be able to use signs of labour market weakness (see point 1) as a catalyst for a more dovish message.

3. **Tech and the AI trade has been fuelling US economic and market optimism.** We see AI capex and similar investments adding around 2ppt to US GDP (in gross terms, *Fig. 10*). But with a swathe of US tech IPOs on the way, more capex being funded through issuance rather than cash flow, and with AI-consuming firms increasingly pushing back on costs of these services, there is a risk that recent hype starts to fade and that the extreme optimism for these firms wanes. This could affect both the consumer (through negative wealth effects/tighter financial conditions if stocks correct significantly) and investment spending, if such spending is no longer deemed positive for share prices (see Oracle's performance on 11 June after announcing larger capex than expected).

Fig. 9: The seasonality of the US nonfarm payrolls

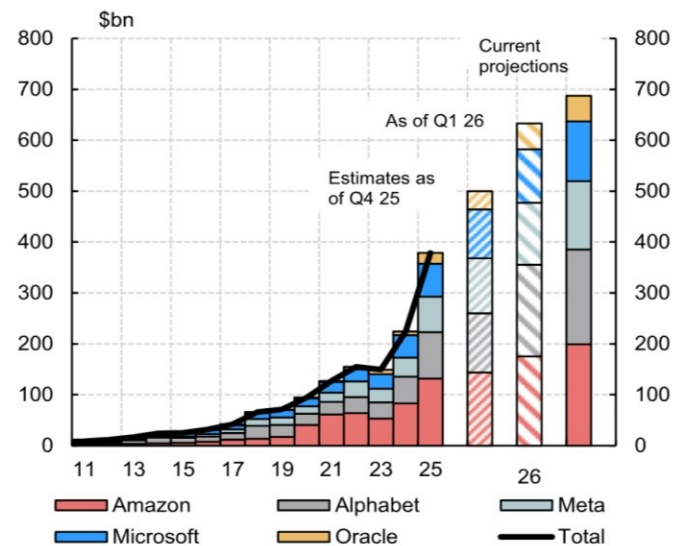


Note: Surprises are measured by taking the difference between actual (1st estimate) and Bloomberg's consensus.

Source: Macrobond, Bloomberg, Nomura

Fig. 10: Gross AI capex could be up to 2ppt of US GDP

Hyperscalers' capex plans



Source: Company filings, Bloomberg, Nomura

Conclusions

USD bullishness has become much more consensus in recent weeks, for good reasons. But there are a number of clear risks to this narrative that we think are worth flagging. Most importantly for us, the **recent strength in US data surprises has historically been more closely linked to future USD weakness** than to strength, and long USD positioning / short positioning for other currencies is moving into territory that could start to look stretched. Signs of de-escalation in the Middle East would also be a catalyst for a turn in USD.

We are confident in our USD upside exposure through our long USD/CAD trade for the time being, but the rest of our recommendations have less directional beta to the USD – such as short AUD/NZD, long CHF/JPY and long EUR/GBP. And we will be closely watching the above risks, as well as any unexpected events that could flip the path of the least resistance for the USD to the downside from here.

Appendix A-1

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